CASCADIA ANALYTICS

Astera Labs

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Hypergrowth Collides with Multiple Reality as Switching Execution Meets Margin Gravity

Analyst: Justin Wen | October 29, 2026

Astera Labs has established undisputed architectural leadership in accelerated computing connectivity, converting severe signal integrity bottlenecks inside clustered servers into explosive operational expansion. While the operational ramp across retimer and fabric switch sockets validates the company's technical moat, current trading levels discount uninterrupted execution alongside aggressive terminal cash flow assumptions. Emerging hardware mix shifts and non-cash customer warrant costs are driving gross margin compression that consensus models fail to adequately penalize at peak multiples. Incorporating our rigorous probability-weighted discounted cash flow framework, we establish a blended target $274.40 and -5.5% upside.

HOLD	$274.40	-5.5%	$290.43
Hold — Valuation Concerns	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

The market remains fixated on near-term sequential revenue beats and the rapid production ramp of next-generation switching architectures. In doing so, consensus overlooks the structural gross margin dilution inherent in system-level hardware transitions and the heavy ongoing capital allocation required to protect high-speed protocol leadership through 2030.

Executive summary

Astera Labs operates as a connectivity chip designer whose retimers and switches move data inside AI servers and data centers. The company addresses the fundamental physical bottlenecks of high-bandwidth computing, engineering semiconductor solutions that maintain signal integrity and manage high-speed fabric switching across complex accelerator clusters. With modern artificial intelligence architectures demanding exponential increases in rack-level interconnect bandwidth, the group's product suite has transitioned from specialized peripheral components into critical architectural backbones for hyperscale infrastructure operators.

The operational trajectory over the recent historical period demonstrates extraordinary top-line momentum paired with notable margin inflection points. In fiscal year 2025, the company delivered revenue of $852.5M, representing year-over-year expansion of 115.1%, with a gross profit of $645.3M yielding a 75.7% gross margin. Operating income reached $173.4M for a 20.3% operating margin, while net income stood at $219.1M, supporting diluted earnings per share of $1.22 and a return on equity of 16.1%. During that period, the business demonstrated formidable cash generation, producing free cash flow of $281.8M and an operating cash conversion profile reflected in a 33.1% free cash flow margin.

Subsequent execution through the first half of fiscal year 2026 has confirmed accelerating hyperscaler demand, yet underscores an evolving profitability mix. Revenue reached $308.4M in Q1 FY2026, advancing 93% year-over-year, and expanded sequentially by 27% to a record $392.4M in Q2 FY2026, up 104% year-over-year. Management established Q3 FY2026 guidance between $540M and $560M, reflecting an unprecedented sequential expansion of roughly 40% as the Scorpio X-Series 320-lane fabric switch achieves volume commercialization a full quarter ahead of internal schedules. However, gross margins have begun to trace a downward trajectory, moderating from 76.4% in Q1 FY2026 to 73.7% in Q2, with Q3 guidance pointing toward approximately 72% as hardware module volume increases and non-cash Amazon warrant contra-revenue charges exert a roughly 200 basis point headwind.

Astera Labs maintains an exceptionally clean, de-risked balance sheet characterized by negligible financial leverage. As of the close of fiscal year 2025, cash balances totaled $167.6M against total debt obligations of just $4.1M, providing a net cash position of $163.5M. This pristine capital structure equips management with substantial flexibility to absorb the operational expenditure ramp required to sustain its technological lead, while funding strategic technology acquisitions such as the purchase of Xscape Photonics to secure photonic scale-up capabilities for future accelerator clusters.

Operational snapshot

$290.43	$852.5M	$281.8M	33.1%	1.50	$290.43
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Architecturally Embedded and Protocol Critical

The competitive moat protecting Astera Labs is built upon deep physical integration within high-speed server architectures and high switching costs across tier-one hyperscale customers. As accelerator clusters transition to PCIe 6 standards and complex multi-lane fabric configurations, passive physical interconnects succumb to severe signal degradation and channel loss. Astera Labs resolved this barrier through its proprietary Aries retimers and Scorpio switch platforms. Once a server baseboard or accelerator substrate is engineered to incorporate Astera Labs silicon, dislodging the vendor requires a complete board redesign, requalification of high-frequency interconnect traces, and validation across firmware stacks, creating immense technical inertia against merchant displacement.

Furthermore, switching costs are reinforced by the proprietary diagnostic, telemetry, and link-optimization software embedded alongside the hardware. Cloud service providers deploying thousands of interconnected compute nodes prioritize link reliability above fractional component cost differentials. Astera Labs provides the protocol-level management layer that dynamically calibrates signal conditioning in real time, mitigating data packet drops across high-density topologies. This integration establishes a dual hardware-software dependency that insulates the core franchise from secondary sourcing during active platform generation cycles.

The durability of this technical advantage is evident in customer adoption trends. Aries PCIe 6 solutions accounted for over 20% of revenue by Q3 FY2025, while the Scorpio P-Series and newly commercialized Scorpio X-Series 320-lane switches have successfully moved from concept validation into production anchor sockets across leading hyperscalers. This enterprise commitment suggests that Astera Labs is not merely participating in merchant semiconductor procurement, but rather dictating the reference topology for next-generation distributed computing clusters.

Nevertheless, pricing power faces natural constraints as hardware form factors evolve. While the core silicon commands premium non-GAAP gross margins, the integration of advanced smart cable modules and hardware components introduces mechanical and passive component costs that inherently dilute segment profitability. As customer concentration remains anchored among the elite hyperscale operators, structural concessions, including commercial arrangements tied to warrant agreements, demonstrate that counterparty purchasing scale can extract economic value even from technologically essential suppliers.

Valuation

Three scenarios make the valuation range explicit

Our valuation framework evaluates Astera Labs across a five-year discrete forecast window spanning FY2026 through FY2030, anchored by an explicit EBIT-to-free cash flow bridge and a rigorous terminal capitalization methodology. Given the extreme operating leverage and top-line velocity demonstrated across recent quarterly prints, static multiple analysis fails to capture either the long-term cash flow durability or the reinvestment requirements of the business. We utilize a probability-weighted assessment assigning 25% weight to a Bear case, 50% to a Base case, and 25% to a Bull case to address the full distribution of commercial outcomes.

At the reference spot price of $290.43, Astera Labs commands a market capitalization of $53.7B, supported by 185.0 million diluted shares outstanding. The market's valuation implies exceptional multiple expansion against reported FY2025 results, trading at 63.0x revenue, 62.8x enterprise value to revenue, 297.2x enterprise value to EBITDA, and a trailing price to earnings multiple of 238.1x based on diluted earnings per share of $1.22. These levels demand that the company sustain unprecedented top-line growth rates while simultaneously achieving superior cash flow margins at maturity.

Our modeled scenarios capture distinct fundamental paths. The Base case projects a 61.1% revenue compound annual growth rate through FY2030, with final forecast year free cash flow margins stabilizing at 35.3%, yielding an equity fair value of $281.56 per share. The Bull case models accelerated merchant market penetration resulting in a 71.8% revenue compound annual growth rate and a 37.2% terminal free cash flow margin, generating a target price of $378.14. Conversely, the Bear case accounts for aggressive customer insourcing, packaging bottlenecks, and sustained gross margin degradation, modeling a 40.0% revenue compound annual growth rate and a 32.7% free cash flow margin, deriving a valuation of $156.33. Synthesizing these outcomes produces a blended target of $274.40, indicating -5.5% downside relative to the prevailing market price.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	40.0%	32.7%	$156.33	-46.2%
Base	50%	61.1%	35.3%	$281.56	-3.1%
Bull	25%	71.8%	37.2%	$378.14	+30.2%

Bear $156.33

Severe gross margin dilution occurs as module hardware mix expands, while Amazon warrant

Base $281.56

The Scorpio X-Series maintains anchor socket status in cloud AI clusters while Aries PCIe 6

Bull $378.14

Astera Labs captures an outsized share of the merchant scale-up switching market, estimated

charges and customer concentration compress pricing flexibility. Hyperscaler procurement moderation, compounded by packaging constraints, limits the five-year revenue compound annual growth rate to 40.0% with terminal free cash flow margins of 32.7%.

maintains dominant volume share across server refresh cycles. Revenue compounds at 61.1% through FY2030, with disciplined operating expense scaling offsetting hardware mix dilution to achieve a 35.3% normalized free cash flow margin.

at $20B by 2030, while Xscape Photonics integration unlocks proprietary optical fabric sockets. Revenue achieves a 71.8% compound annual growth rate through FY2030 with optimized operational scale driving free cash flow margins to 37.2%.

Valuation framework

A live discount rate, not a static hurdle

Our quantitative cost of capital calculation employs a dynamic Capital Asset Pricing Model derivation, resulting in a weighted average cost of capital of 10.15%. This discount rate incorporates an equity beta input of 1.50, reflecting the heightened systematic risk, high operational duration, and customer concentration characteristic of leading-edge semiconductor connectivity designers. The 10.15% hurdle rate captures the reality that Astera Labs operates in an environment exposed to rapid architectural obsolescence and severe capital expenditure cycles among cloud service providers.

The discount rate serves as an active economic hurdle rather than a passive benchmark. At an equity beta of 1.50, the market demands an equity risk premium that appropriately discounts future cash flows that are heavily back-half weighted in our FY2026 to FY2030 forecast window. In calculating the terminal capitalization, we apply a base case terminal growth rate of 3.0%, reflecting long-term expansion aligned with mature global semiconductor demand. Discounting terminal values back to the present under a 10.15% WACC heavily penalizes any shortfall in intermediate cash generation, reinforcing our conviction that current spot pricing leaves no margin for execution errors.

FCF margin normalization is the engine

Free cash flow margin evolution serves as the primary driver of equity valuation within our multi-tier model. In FY2025, the company achieved an extraordinary free cash flow margin of 33.1%, converting $281.8M of its $852.5M top line into free cash flow. This cash conversion was supported by a 75.7% gross margin and disciplined working capital management. However, recent quarterly indicators demonstrate that gross margins are under structural pressure, declining to 73.7% in Q2 FY2026 and guided toward roughly 72% in Q3 FY2026 as hardware module mix expands and warrant dilution takes effect.

Over the discrete forecast horizon through FY2030, cash generation depends upon the counterbalance between hardware-driven gross margin compression and fixed-cost operating leverage. In our Base case, we model free cash flow margins expanding to 35.3% by the final forecast year as research and development investments scale over a substantially larger revenue denominator. In the Bull case, superior software monetization and manufacturing yield efficiency lift terminal cash flow margins to 37.2%. In contrast, the Bear case reflects persistent module dilution and research and development reinvestment needs, capping terminal free cash flow conversion at 32.7%.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	FY2026 to FY2030
Live WACC	10.15% (2026-10-29)
Terminal growth	3.0%
Equity beta	1.50
Diluted shares	185.0 million

HOLD

over $274.40 blended target

Competitive moat and concentration risk

We rate the moat as Narrow and we view the market structure as Oligopoly (AI interconnect). We assign a premium of +15% to sector median multiples on moat strength alone.

- design-win incumbency in hyperscaler reference platforms plus the COSMOS software overlay, a source cited PCIe 6.0 as a doubling event for silicon content per server and Astera as the default third-party retimer supplier in Nvidia reference designs .
- FY2025 revenue $852.5m, +115% YoY, with 75.7% non-GAAP gross margin and 40.2% non-GAAP operating margin (Q4 2025 results as reported in 2026 coverage); Q4 2025 guidance was ~75% GAAP gross margin. A 75%+ gross margin sustained while tripling revenue is pricing-power evidence, but it is a growth-phase margin, not yet a through-cycle one.
- The weakest element is customer concentration and standards risk, losing one hyperscaler design is cited as a ~20% revenue hit, and UALink/NVLink Fusion acceptance is unproven.

On a multiple cross-check, the justified range is 21.0-23.0x / 18.3-20.0x. The cross-check value is $117-$128 vs Base $280.11, spot $269.69, on a base of Framework base from the October 27 moat report. The gap verdict is Not at all, market already pays more than moat justifies (spot P/E 42.1x).

We have no disclosed backlog figure for this company, so backlog gives no support to the growth path here.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	8 points
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	4 points
single supplier, single fab, or single geography exposure	8 points
platform, channel, or distribution dependency	4 points
customer insourcing risk	4 points
regulatory single point risk	1 points

The combined discount is 20 percent, capped at 20 percent, against an uncapped total of 30 percent. Shown side by side with the moat premium or discount, the net stance is -5 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Arithmetic overshoot only; no causal claim

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Aries PCIe Connectivity and Scorpio Fabric Switching HOLD

The core commercial engine of Astera Labs resides in its high-speed retimer solutions and newly commercialized fabric switches, which resolve severe data bottlenecks inside artificial intelligence servers and cloud data centers. The Aries family of retimers, particularly its

industry-leading PCIe 6 solutions, represents the baseline volume contributor. Aries PCIe 6 products accounted for over 20% of total company revenue as early as Q3 FY2025 and drove record product revenue in Q2 FY2026. As server architectures migrate from legacy interconnect standards to PCIe 6, Astera Labs acts as the primary volume shipper, capturing critical board-level real estate across server platforms.

The secondary and most explosive growth vector is the Scorpio fabric switch platform. Management successfully transitioned the Scorpio P-Series into volume ramp at a lead customer in late FY2025, securing design wins across additional hyperscalers. This was followed by the commercial launch of the Scorpio X-Series 320-lane fabric switch, which entered volume production a full quarter ahead of expectations in Q2 FY2026. This operational acceleration underpins management's aggressive Q3 FY2026 revenue guidance of $540M to $560M, implying sequential revenue growth of roughly 40%. Astera Labs is positioning itself to capture an expanding share of the merchant scale-up switching market, an opportunity the company estimates will reach $20B by 2030.

Simultaneously, the Taurus smart cable module portfolio addresses rack-level connectivity challenges, enabling longer reach and higher density across distributed compute clusters. While Taurus expands Astera Labs' dollar content per rack, its hardware module structure alters the corporate margin profile. The inclusion of mechanical connectors, cables, and module assembly shifts the revenue mix toward lower gross margin profiles, as evidenced by gross margin declining from 76.2% in Q3 FY2025 to guidance of roughly 72% in Q3 FY2026. Strategic positioning has been further augmented by the acquisition of Xscape Photonics, an asset designed to secure fiber-to-chip coupling technologies required for future optical scale-up switches spanning hundreds of accelerators.

Despite these undeniable operational achievements, ongoing margin dilution and corporate expense growth represent critical headwinds. Non-GAAP operating expenses reached approximately $124M in Q1 FY2026 and were guided to approximately $130M in Q2, following a 60% year-over-year headcount expansion that exited FY2025 at more than 700 employees. Furthermore, commercial agreements with key partners introduce contra-revenue headwinds, notably the Amazon warrant structure that imposes a roughly 200 basis point non-cash drag on gross margins. Sustaining operational leverage in the face of these cost pressures requires continuous, flawless revenue execution.

What to monitor

- **Scorpio X-Series production scaling** requires tracking whether the pull-forward in 320-lane switch volume continues to drive sequential top-line growth toward the $540M to $560M guidance range without encountering supply bottlenecks.
- **Hardware gross margin trajectory** demands close monitoring as Taurus module mix and Amazon warrant charges threaten to push non-GAAP gross margins below the guided 72% threshold.

- **Operating expense leverage** must be evaluated against the heavy engineering expansion that took headcount past 700 employees, ensuring that non-GAAP operating margins do not deteriorate from the 39.1% level reported in Q2 FY2026.
- **Photonic integration milestones** regarding the absorption of Xscape Photonics will signal whether optical fabric switching can be successfully commercialized ahead of competitive merchant scale-up offerings.

+115.1%	75.7%	20.3%	33.1%	$163.5M	16.1%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET CASH	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$852.5M
Gross Profit	$645.3M
EBIT	$173.4M
Net Income	$219.1M
EBITDA	$180.3M
Free Cash Flow	$281.8M
Diluted EPS	$1.22
ROE	16.1%

Risk & moat matrix

The bear case

SHARE EROSION

Large cloud service providers continue to evaluate internal silicon alternatives and secondary

M&A DIGESTION

The integration of Xscape Photonics introduces operational and technical execution risks into complex

REGULATORY AND PRICING SCRUTINY

Hyperscaler customers possess immense commercial leverage, utilizing warrant structures and

TECHNOLOGY DISRUPTION

The transition between high-speed interconnect generations presents execution friction, including industry-wide

REINVESTMENT TREADMILL

Maintaining architectural leadership across retimers, fabric switches, and smart cable modules demands continuous, elevated capital

WACC AND DURATION SENSITIVITY

With equity trading at 63.0x FY2025 revenue and 238.1x diluted earnings per share, equity

merchant sources for connectivity retimers and switches. Any socket loss within the concentrated hyperscaler customer base would directly compromise the company's multi-year revenue trajectory.

optical scale-up switch development. Failure to commercialize fiber-to-chip coupling capabilities efficiently could result in elevated research and development expenses without near-term revenue realization.

long-term commercial agreements to enforce pricing concessions. The roughly 200 basis point contra-revenue drag from the Amazon warrant highlights how large customers capture a meaningful portion of supplier economics.

advanced packaging and memory supply constraints. Any technical misstep during the PCIe 6 or future protocol migrations could open qualification windows for alternative silicon providers.

commitments. Headcount expanded by 60% exiting FY2025 to over 700 employees, creating fixed operating expense hurdles where returns on research and development take 18 to 24 months to materialize.

value is hypersensitive to discount rate fluctuations. Under our 10.15% WACC and 1.50 beta framework, any upward re-rating in systematic cost of capital causes severe multiple contraction.

The strengths

OLIGOPOLY POSITION

Astera Labs serves as the primary volume shipper of PCIe 6 connectivity solutions, establishing defensible first-mover advantages. Deep architectural integration within hyperscaler AI baseboards creates enormous switching costs that deter platform redesigns.

FCF COMPOUNDING

The business demonstrated exceptional cash generation in FY2025, producing $281.8M in free cash flow with a 33.1% margin alongside a net cash balance of $163.5M. This organic cash flow generation provides substantial financial independence to self-fund aggressive innovation cycles.

GEOGRAPHIC DURABILITY

Deployment across tier-one hyperscale data centers provides direct exposure to the secular buildout of accelerated computing infrastructure. High-speed retimers and fabric switches represent mission-critical components that cannot be engineered out of high-density clusters.

PIPELINE OPTIONALITY

Commercialization of the Scorpio X-Series 320-lane fabric switch unlocks entry into the merchant scale-up switching market, estimated at $20B by 2030. The incorporation of Xscape Photonics assets further positions the company for next-generation optical fabric architectures.

The bottom line on risk and reward

Astera Labs represents an extraordinary fundamental execution story operating at the absolute epicenter of the artificial intelligence hardware buildout. The company's progression from a specialized connectivity chip designer into an indispensable supplier of retimers and scale-up fabric switches is fully validated by its financial results. Transitioning from FY2025 revenue of $852.5M to guided Q3 FY2026 revenue of $540M to $560M demonstrates structural market share capture across anchor hyperscaler accounts.

However, an elite operational franchise does not automatically constitute an attractive equity investment at any price. Trading at a market capitalization of $53.7B against trailing diluted earnings per share of $1.22 and an enterprise value to EBITDA multiple of 297.2x, the equity leaves zero margin for execution variability. Gross margins are undergoing a clear, structural compression toward 72%, driven by the rising mix of hardware modules and the 200 basis point drag from non-cash customer warrants. At the same time, expanding operating expenses and industry-wide advanced packaging bottlenecks present persistent operational risks.

Our probability-weighted valuation framework yields a blended target price of $274.40, indicating -5.5% downside relative to the current reference spot price of $290.43. While long-term equity compounding remains plausible under aggressive bull-case assumptions, the risk-reward skew at prevailing valuation multiples is unfavorable. We conclude that current prices fully discount the multi-year merchant switching TAM and operational ramp, justifying our Hold (Valuation Concerns) recommendation.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Scorpio Fabric Switches and Aries Retimers: Architectural Interconnect Monopolies

The core technological franchise of Astera Labs is centered upon its specialized silicon portfolio that moves data inside AI servers and data centers, specifically its Aries retimers and Scorpio fabric switches. Modern artificial intelligence models require thousands of parallel accelerators operating in tight coordination, generating unprecedented data bandwidth requirements across server backplanes and cluster fabrics. At high signaling rates, particularly those required by the PCIe 6 standard, high-frequency electrical signals suffer catastrophic attenuation, jitter, and reflection when traversing standard printed circuit board traces. Without active signal conditioning, physical reach is restricted to mere inches, severely constraining server architectural design.

Astera Labs solved this fundamental physical bottleneck through its Aries retimer family. Aries chips actively receive degraded, noisy high-speed signals, equalize channel distortions, re-time data packets using internal clock circuits, and re-transmit pristine digital signals across extended physical reaches. By acting as the primary volume shipper of PCIe 6 solutions, Astera

Labs captured critical design wins across tier-one cloud service providers, with Aries PCIe 6 solutions expanding to contribute over 20% of corporate revenue by Q3 FY2025 and driving record performance into Q2 FY2026. The software telemetry suite embedded within Aries silicon further monitors link health and dynamically tunes equalization parameters, embedding the company directly into the hyperscaler telemetry and monitoring infrastructure.

Building upon its signal integrity foundation, the company executed a strategic expansion into scale-up clustering with the introduction of its Scorpio fabric switch portfolio. While standard networking switches connect disparate servers across local area networks, fabric switches govern the internal scale-up domain, allowing multiple accelerators to share pooled memory and exchange matrix calculations with low latency. Management initiated this deployment with the Scorpio P-Series, which entered volume production at a lead customer in late FY2025, followed by the Scorpio X-Series 320-lane fabric switch. The Scorpio X-Series moved into volume production a full quarter ahead of internal projections in Q2 FY2026, establishing Astera Labs as an early merchant leader in a scale-up switching market projected to reach $20B by 2030.

To ensure long-term architectural dominance as copper interconnects reach absolute physical limits, Astera Labs completed the acquisition of Xscape Photonics in Q3 FY2025. This strategic transaction integrates proprietary fiber-to-chip coupling technology, laying the intellectual property groundwork for optically expanded fabric switches capable of interconnecting hundreds of accelerators at rack scale. Together with the Taurus smart cable module portfolio, Astera Labs has built a comprehensive connectivity suite that secures its presence across virtually every critical internal data path inside modern accelerated computing infrastructure.

What the recent record shows

- Scorpio X-Series 320-lane fabric switches entered volume production a full quarter early, serving as the primary catalyst for the Q3 FY2026 revenue guidance step-up to $540M to $560M, which implies roughly 40% sequential growth.
- Aries PCIe 6 solutions demonstrated sustained volume leadership, contributing over 20% of corporate revenue in Q3 FY2025 and underpinning record Aries family revenue in Q2 FY2026.
- Non-GAAP gross margins have traced an intentional, mix-driven moderation from 76.2% in Q3 FY2025 and 76.4% in Q1 FY2026 down to 73.7% in Q2 FY2026, with Q3 guidance pointing to roughly 72% due to hardware module expansion and a 200 basis point non-cash Amazon warrant contra-revenue drag.
- Strategic investments in scale-up architectures advanced through the acquisition of Xscape Photonics in Q3 FY2025, while corporate headcount expanded 60% year-over-year exiting FY2025 to surpass 700 employees, lifting Q2 FY2026 non-GAAP operating expenses to approximately $130M.

> **Our read:** Astera Labs possesses an enviable, mission-critical product suite that dominates signal conditioning and fabric switching across accelerated computing

clusters. However, with the equity commanding a market capitalization of $53.7B and trading at 63.0x trailing revenue, current market pricing fully reflects these architectural advantages while underestimating the ongoing margin drag from hardware modules and warrant structures. We view the current valuation as fully stretched, supporting our Hold (Valuation Concerns) rating and blended target price of $274.40.